

July 29, 2026 02:43 AM GMT

KLA Corp | North America

Mixed Bag (again)

WHAT'S CHANGED

KLA Corp (KLAC.O)	From	To
Price Target	\$274.00	\$253.00

AlphaSignals Earnings Reaction

Unchanged	— In-line	↑ Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

KLA’s near-term numbers were underwhelming as previewed, but we’re more confident on the 2027 story.

Key Takeaways

- 2026 WFE+AP revised up from \$140bn+ to low-\$150bn (25%+)
- Now see 2026 advanced packaging of \$1.1bn (2025 \$650mn).

What happened? KLA’s SepQ guide came in a touch below MSe ([KLA Corp: Long-term positive, near-term cautious \(9 Jul 2026\)](#)). On the outlook the company revised its 2026 WFE forecast, including AP, from \$140bn+ to low-\$150bn (25%+), and talked toward ensuring that KLA themselves can prepare to supply and support the more bullish 2027 WFE views out there (\$190bn+). 2026 advanced packaging revenue was revised up from \$1bn to \$1.1bn (+70% y/y), with growth rate 2x the market (KLA’s estimate).

Mixed bag (again). Similar to [last quarter](#), we think this print offered something for both bulls and bears, but with the negatives concentrated in the near term, and vice versa. **The bull case (primarily CY27):** KLA’s confidence on outgrowing WFE in 2027 is based on backlog, as the company spoke of \$12.5bn in RPO (vs FY25-end \$7.86bn). We feel more confident in our thesis that process control intensity will improve in 2027 led by 1D and 1.4nm and were also encouraged by the company’s commentary around capturing share in advanced packaging on the back of hybrid bonding in logic and SolC. **The bear case (primarily CY26):** Near-term numbers for KLA were uninspiring as the company wasn’t able to beat and raise vs intra-quarter commentary. Given KLA’s lead-times (12-months+), numbers in-line with intra-quarter commentary aren’t a surprise, but earnings does serve as a reminder that mix has been a significant headwind for process control intensity in 2026 and KLA is a share donor this year.

Where does this leave us? KLA’s earnings have been underwhelming vs etch/dep peers who have continued to show significant near-term upside. While there is a longer term debate around whether AI is a tailwind or not for process control (more N-1/2 wafers vs larger die/broader customer base), we are strong believers that process control intensity will be a tailwind for KLA in 2027. We stand by our analysis of process control intensity at TSMC by node, as well as industry DRAM wafers,

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KLA Corp (KLAC.O, KLAC US)

Semiconductor Capital Equipment | United States of America

Stock Rating	Overweight
Industry View	In-Line
Price target	\$253.00
Shr price, close (Jul 28, 2026)	\$190.80
Mkt cap, curr (mm)	\$250,899
52-Week Range	\$307.37-83.22

Fiscal Year Ending	06/25	06/26e	06/27e	06/28e
EPS (\$)**	3.33	3.76	5.53	6.67
Prior EPS (\$)**	-	3.70	5.41	6.66
P/E	29.5	82.4	35.2	29.1
EPS (\$)\$	32.43	3.76	5.22	6.40
Div yld (%)	0.2	0.1	0.2	0.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.73	-	0.88a	1.19	1.17
Q2	0.82	-	0.88a	1.30	1.35
Q3	0.84	-	0.94a	1.40	1.46
Q4	0.94	-	1.05a	1.52	1.55

e = Morgan Stanley Research estimates, a = Actual Company reported data

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which suggest that KLA's leading-edge logic revenue at TSMC should accelerate in 2027, while DRAM growth rates should sustain despite a deceleration in DRAM WFE growth rates. These tailwinds should complement the broadening of leading-edge spend across Intel, Rapidus, and TeraFab, supporting our view that KLA will outgrow WFE in 2027, with growth of 36% versus WFE at 31%.

Changes to our estimates. We fine tune our CY27 forecast from \$20.2bn/\$6.12 to \$20.4bn/\$6.23 as we marginally revise up our system growth forecast from 34.7% to 35.7%. Our CY28 forecast of \$23.4bn/\$7.22 is largely unchanged.

Thoughts on the stock: We understand the bear thesis around KLA (2026 underperformance) and we agree that KLA will under grow WFE this year. *We remain OW KLA; however, we're anticipating the quarter when KLA materially beats street numbers and CY27/28 estimates come up. In the mean time, we nudge down our target multiple for KLA from 38x to 36x given derating across the cohort, which brings down our PT from \$274 to \$253. We shifted our valuation base year to 2028 for most US SPE names in [Semiconductor Capital Equipment: Rolling over PTs to 2028 \(6 Jul 2026\)](#). In the near-term we favor other OWs (AEIS, MKSI) given the magnitude of CY27/28 estimate revisions.*

Risk Reward – KLA Corp (KLAC.O)

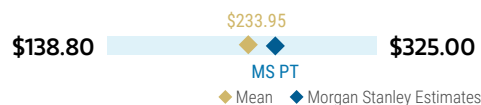
OW on structural and idiosyncratic drivers

PRICE TARGET \$253.00

36x CY28e EPS of \$7.22, a 15% premium to US SPE peers LAM & AMAT to reflect growth prospects in foundry logic and DRAM.

Consensus Price Target Distribution

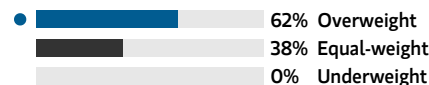
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

- KLA's fundamental story has gone from strength to strength: 1) Process control intensity: to structurally increase going forward due to larger die sizes and increased design starts, both causes of lower yield. 2) Share increase: KLA should continue to gain market share in process control given the company is first to inflections and has the fundamental technology to enable that.
- We believe a premium multiple to SPE peers is justified given KLA's growth prospects (outperformance vs WFE) as well as its superior gross margin.

Consensus Rating Distribution



MS Rating

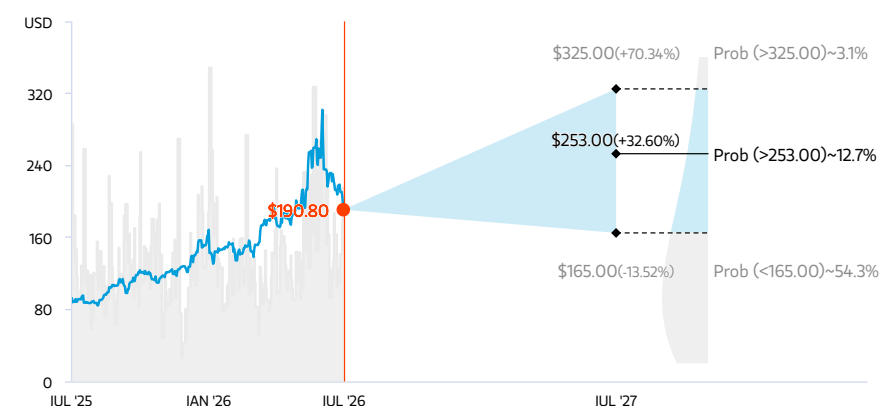
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 28 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$325.00

40x CY28e EPS of \$8.12

KLA gains more market share than expected on the back of leading edge logic spending accelerating and process control intensity in DRAM increasing greater than expected.

- In this scenario we assume a considerable premium to US SPE peers (AMAT/LAM) as KLA's growth prospects are more appreciated.

- Revenue grows 25.1% in CY28 as KLAC sees outsized growth due to increased market share.

- GM expands to 63.5% and EPS grows to \$8.12 in 2028.

BASE CASE

\$253.00

36x CY28e EPS of \$7.22

KLA grows ahead of WFE in 2027 due to increased process control intensity in leading edge logic and DRAM.

- In this scenario we assume a premium to US SPE peers (AMAT/LAM) that is slightly higher than historic due to KLA's growth prospects.

- Revenue grows 13.8% in CY28 and KLA slightly increases market share.

- GM expands to 62.8% and EPS grows to \$7.22 in 2028

BEAR CASE

\$165.00

25x CY28e EPS of \$6.59

KLA's market share contracts due to leading edge logic and DRAM investment slowing down. KLA faces increasing competition in mask inspection, pressuring valuation multiple.

- In this scenario we assume multiple in-line with US SPE peers (AMAT/LAM)

- Revenue growth of 5.2% in CY28 as leading edge logic growth is limited.

- GM declines to 61.8% and EPS slightly increases to \$6.59 in 2028

Risk Reward – KLA Corp (KLAC.O)

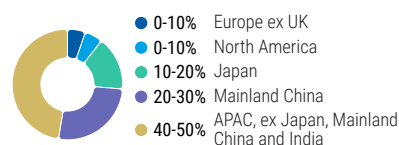
KEY EARNINGS INPUTS

Drivers	Jun 2025	Jun 2026e	Jun 2027e	Jun 2028e
GAAP Revenue (\$, mm)	12,156	13,579	18,427	21,658
MW Gross Margin (%)	62.3	62.4	62.5	62.7
MW EPS (\$)	3.33	3.78	5.53	6.67
Inventory (\$, mm)	3,212	3,649	5,040	5,627
DOI	246.7	253.4	261.2	249.6

INVESTMENT DRIVERS

- WFE market growth, specifically in leading edge logic where KLA has outsized exposure.
- Process control intensity and KLA's market share within process control.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Foundries (TSMC, Intel, Samsung) pull forward their logic roadmaps
- Design starts in leading edge nodes increase
- Process control intensity increases in DRAM due to HBM

RISKS TO DOWNSIDE

- Certain foundries (Intel, Samsung) scale back their aspirations
- Market share loss in mask inspection to Lasertec or in e-beam to AMAT or ASML
- China restrictions

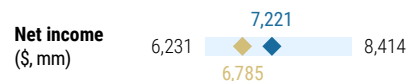
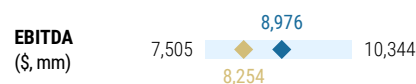
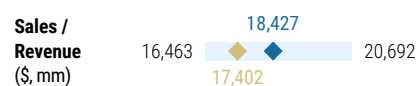
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.2%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

KLAC-US: Snapshot for the quarter ended June 2026

Income Statement									
Qtr Results:	Actual			Lst Qtr	QoQ	Lst Yr	YoY	Consensus	MSe
Revenue	\$3,657.6			\$3,415.1	7.1%	\$3,174.7	15.2%	\$3,607.9	\$3,602.4
Gross Margin	62.4%			62.2%	19 bps	63.2%	-84 bps	61.7%	61.8%
EPS*	\$1.05			\$0.94	\$0.11	\$0.94	\$0.11	\$1.00	\$0.99
Nxt Qtr Outlook:	Low	High	Midpoint						
Revenue	\$3,800	\$4,200	\$4,000						
Gross Margin	61.5%	63.5%	62.5%						
EPS*	\$1.06	\$1.26	\$1.16						

* EPS excludes stock-based compensation and extraordinary one-time items

Source: Company data, Morgan Stanley Research estimates

Exhibit 2: Income Statement Variance

Non-GAAP financials, \$ in Millions except per share

	Reported FQ426	MS Est FQ426	Difference Act. V Est.	Per share Difference
Total Revenue	3,657.6	3,602.4	55.2	0.04
Cost of Sales	1,376.9	1,377.9	(1.0)	NM
Gross Profit	2,280.6	2,224.5	56.2	0.04
Gross Margin	62.4%	61.8%	0.6%	
R&D	399.0	387.3	11.8	NM
SG&A	1,587.0	1,558.0	29.0	(0.02)
Other Opex (inc)	(11.6)	0.0	(11.6)	NM
Total Op Expenses	1,974.4	1,945.3	29.2	(0.02)
Operating Income	283.0	279.2	3.8	NM
Operating Margin	7.7%	7.8%	0.0%	
Income tax provision	196.7	220.3	(23.6)	0.02
Net Income	1,385.7	1,299.2	86.5	0.07
EPS	\$1.05	\$0.99	\$0.06	0.06
Diluted Shares Out.	1,315.0	1,313.4	1,313.4	

Source: Company data, Morgan Stanley Research estimates

Projected Financial Statements

Exhibit 3: KLAC: Projected Income Statement

KLA Income Statement (\$ in millions; fiscal year ends in June)	C3Q24E Sep-24 F1Q25A	C4Q24A Dec-24 F2Q25A	C1Q25A Mar-25 F3Q25A	C2Q25A Jun-25 F4Q25A	C3Q25A Sep-25 F1Q26A	C4Q25A Dec-25 F2Q26A	C1Q26A Mar-26 F3Q26A	C2Q26A Jun-26 F4Q26A	C3Q26E Sep-26 F1Q27E	C4Q26E Dec-26 F2Q27E	C1Q27E Mar-27 F3Q27E	C2Q27E Jun-27 F4Q27E	C3Q27E Sep-27 F1Q28E	C4Q27E Dec-27 F2Q28E	C1Q28E Mar-28 F3Q28E	C2Q28E Jun-28 F4Q28E	CY2024A Dec-24 2024CY	CY2025A Dec-25 2025CY	CY2026E Dec-26 2026CY	CY2027E Dec-27 2027CY	CY2028E Dec-28 2028CY
	2025/1F	2025/2F	2025/3F	2025/4F	2026/1F	2026/2F	2026/3F	2026/4F	2027/1F	2027/2F	2027/3F	2027/4F	2028/1F	2028/2F	2028/3F	2028/4F	\$ 10,847.0	\$ 12,744.6	\$ 15,560.3	\$ 20,429.9	\$ 23,243.5
Revenues - GAAP	\$ 2,841.5	\$ 3,076.9	\$ 3,063.0	\$ 3,174.7	\$ 3,209.7	\$ 3,297.1	\$ 3,415.1	\$ 3,657.6	\$ 4,015.1	\$ 4,472.6	\$ 4,827.3	\$ 5,111.6	\$ 5,269.3	\$ 5,221.6	\$ 5,417.6	\$ 5,749.4					
q/q change (%)	10.6%	8.3%	-0.4%	3.6%	1.1%	2.7%	3.6%	7.1%	9.8%	11.4%	7.9%	5.9%	3.1%	-0.9%	3.8%	6.1%					
y/y change (%)	18.5%	23.7%	29.8%	23.6%	13.0%	7.2%	11.5%	15.2%	25.1%	35.6%	41.4%	39.8%	31.2%	16.7%	12.2%	12.5%					
Revenues - MW & non-GAAP	2,841.5	3,076.9	3,063.0	3,174.7	3,209.7	3,297.1	3,415.1	3,657.6	4,015.1	4,472.6	4,827.3	5,111.6	5,269.3	5,221.6	5,417.6	5,749.4	10,847.0	12,744.6	15,560.3	20,429.9	23,243.5
COGS - GAAP	1,147.4	1,221.5	1,175.7	1,207.3	1,243.1	1,271.2	1,327.7	1,413.1	1,541.9	1,704.5	1,845.3	1,951.9	2,005.7	1,987.9	2,055.8	2,179.5	4,373.3	4,897.3	5,987.1	7,790.7	8,797.8
% of revenue	40.4%	39.7%	38.4%	38.0%	38.7%	38.6%	38.9%	38.6%	38.4%	38.1%	38.2%	38.2%	38.1%	38.1%	37.9%	37.9%	40.3%	38.4%	38.5%	38.1%	37.9%
COGS - non-GAAP	1,102.4	1,177.7	1,133.9	1,167.0	1,205.0	1,233.2	1,290.6	1,376.9	1,505.7	1,668.3	1,810.3	1,916.9	1,970.7	1,952.9	2,020.8	2,144.5	4,190.7	4,739.1	5,841.4	7,650.7	8,657.8
% of revenue	38.8%	38.3%	37.0%	36.8%	37.5%	37.4%	37.8%	37.6%	37.5%	37.3%	37.5%	37.5%	37.4%	37.4%	37.3%	37.3%	38.6%	37.2%	37.5%	37.4%	37.2%
Gross profit - GAAP	1,694.1	1,855.4	1,887.3	1,967.5	1,966.6	2,025.9	2,087.4	2,244.4	2,473.2	2,768.1	2,982.1	3,159.8	3,263.6	3,233.7	3,361.8	3,569.8	6,473.6	7,847.4	9,573.2	12,639.2	14,445.8
Gross margin (%)	59.6%	60.3%	61.6%	62.0%	61.3%	61.4%	61.1%	61.4%	61.6%	61.9%	61.8%	61.8%	61.9%	61.9%	62.1%	62.1%	59.7%	61.6%	61.5%	61.9%	62.1%
Gross profit - non-GAAP	1,739.1	1,899.2	1,929.2	2,007.7	2,004.7	2,064.0	2,124.5	2,280.6	2,509.4	2,804.3	3,017.1	3,194.8	3,298.6	3,268.7	3,396.8	3,604.8	6,656.2	8,005.6	9,718.9	12,779.2	14,585.8
Gross margin (%)	61.2%	61.7%	63.0%	63.2%	62.5%	62.6%	62.2%	62.4%	62.5%	62.7%	62.5%	62.5%	62.6%	62.6%	62.7%	62.7%	61.4%	62.8%	62.5%	62.6%	62.8%
R&D - GAAP	323.1	346.2	338.0	353.0	360.5	383.9	388.8	399.0	405.5	424.9	456.2	483.0	498.0	493.4	512.0	543.3	1,316.7	1,435.4	1,618.2	1,930.6	2,193.5
R&D - non-GAAP	322.1	342.0	338.0	353.0	360.5	383.9	388.8	399.0	405.5	424.9	456.2	483.0	498.0	493.4	512.0	543.3	1,307.4	1,435.4	1,618.2	1,930.6	2,193.5
% of revenue	11.3%	11.1%	11.0%	11.1%	11.2%	11.6%	11.4%	10.9%	10.1%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	12.1%	11.3%	10.4%	9.5%	9.4%
SG&A - GAAP	251.0	267.1	248.9	262.7	269.0	279.9	291.1	291.5	293.1	304.1	321.0	332.3	337.2	334.2	346.7	368.0	1,010.7	1,060.5	1,179.8	1,324.7	1,484.6
SG&A - non-GAAP	237.6	254.2	237.1	250.2	258.0	269.0	281.3	283.0	284.6	295.7	312.5	323.8	328.8	325.7	338.3	359.5	945.1	1,014.2	1,144.6	1,290.8	1,450.7
% of revenue	8.4%	8.3%	7.7%	7.9%	8.0%	8.2%	8.2%	7.7%	7.3%	6.8%	6.7%	6.5%	6.4%	6.4%	6.4%	6.4%	8.7%	8.0%	7.4%	6.3%	6.2%
Other operating expenses - GAAP	-	239.1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	309.6	-	-	-	-
Operating expenses - GAAP	574.2	852.3	586.9	615.7	629.4	663.8	679.9	690.5	698.6	729.0	777.2	815.3	835.2	827.6	858.7	911.3	2,637.0	2,495.9	2,798.1	3,255.3	3,678.1
% of revenue	20.2%	27.7%	19.2%	19.4%	19.6%	20.1%	19.9%	18.9%	17.4%	16.3%	16.1%	16.0%	15.9%	15.9%	15.9%	15.9%	24.3%	19.6%	18.0%	15.9%	15.8%
Operating expenses - non-GAAP	559.6	596.2	575.1	603.1	618.5	652.8	670.0	693.6	690.2	720.6	768.7	806.8	826.7	819.2	850.2	902.8	2,252.5	2,449.6	2,774.4	3,221.4	3,644.2
% of revenue	19.7%	19.4%	18.8%	19.0%	19.3%	19.8%	19.6%	19.0%	17.2%	16.1%	15.9%	15.8%	15.7%	15.7%	15.7%	15.7%	20.8%	19.2%	17.8%	15.8%	15.7%
Operating income - GAAP	1,119.9	1,003.1	1,300.4	1,351.8	1,337.2	1,362.1	1,407.5	1,553.9	1,774.6	2,039.1	2,204.9	2,344.5	2,428.4	2,406.1	2,503.1	2,658.6	3,836.7	5,351.5	6,775.1	9,383.9	10,767.6
Operating margin (%)	39.4%	32.6%	42.5%	42.6%	41.7%	41.3%	41.2%	42.5%	44.2%	45.6%	45.7%	45.9%	46.1%	46.1%	46.2%	46.2%	35.4%	42.0%	43.5%	45.9%	46.3%
Operating income - non-GAAP	1,179.5	1,302.9	1,354.1	1,404.6	1,386.2	1,411.1	1,454.5	1,587.0	1,819.3	2,083.7	2,248.4	2,387.9	2,471.9	2,449.6	2,546.6	2,702.0	4,403.7	5,556.0	6,944.5	9,557.8	10,941.5
Operating margin (%)	41.5%	42.3%	44.2%	44.2%	43.2%	42.8%	42.6%	43.4%	45.3%	46.6%	46.6%	46.7%	46.9%	46.9%	47.0%	47.0%	40.6%	43.6%	44.6%	46.8%	47.1%
NOPAT - non-GAAP	1,034.2	1,104.7	1,165.6	1,213.8	1,186.7	1,215.3	1,233.0	1,396.2	1,555.5	1,793.9	1,935.5	2,063.5	2,126.4	2,110.4	2,194.4	2,328.9	3,820	4,839	5,974	8,189	9,372
Total interest income (net) and other income - GAAP	(41.2)	(30.5)	(36.0)	(23.0)	(27.7)	(31.8)	9.3	(4.6)	(23.3)	(23.3)	(23.3)	(23.3)	(21.3)	(21.3)	(19.3)	(19.9)	(138.4)	(118.5)	(41.9)	(89.1)	(75.1)
Other income (expense), net	40.9	44.5	35.9	50.2	43.4	37.8	79.7	68.7	50.0	50.0	50.0	50.0	52.0	52.0	54.0	53.3	181.6	167.3	248.4	204.0	218.0
Total interest income (net) and other income - non-GAAP	(41.2)	(30.5)	(36.0)	(23.0)	(27.7)	(31.8)	9.3	(4.6)	(23.3)	(23.3)	(23.3)	(23.3)	(21.3)	(21.3)	(19.3)	(19.9)	(138.4)	(118.5)	(41.9)	(89.1)	(75.1)
PBT - GAAP	1,078.7	972.5	1,264.4	1,328.8	1,309.5	1,330.3	1,416.8	1,549.4	1,751.3	2,015.8	2,181.6	2,321.2	2,407.1	2,384.8	2,483.9	2,638.6	3,698.3	5,233.0	6,733.3	9,294.8	10,692.6
PBT - non-GAAP	1,138.2	1,272.4	1,318.1	1,381.6	1,358.5	1,379.3	1,463.7	1,582.5	1,796.0	2,060.5	2,225.1	2,364.7	2,450.6	2,428.3	2,527.3	2,682.1	4,265.3	5,437.5	6,902.7	9,468.6	10,866.4
% of revenue	40.1%	41.4%	43.0%	43.5%	42.3%	41.8%	42.9%	43.3%	44.7%	46.1%	46.1%	46.3%	46.5%	46.5%	46.7%	46.7%	39.3%	42.7%	44.4%	46.3%	46.8%
Income tax expense (benefit) - GAAP	132.8	148.0	176.0	126.0	188.4	184.6	215.8	186.3	250.0	288.4	312.3	332.5	345.0	341.7	356.1	378.5	489.9	675.0	940.5	1,331.4	1,534.1
Income tax expense (benefit) - non-GAAP	150.1	174.0	197.4	137.2	191.7	211.1	225.1	196.7	260.4	298.8	322.6	342.9	355.3	352.1	366.5	388.9	570.8	737.4	981.0	1,373.0	1,575.6
Effective tax rate (%)	13.2%	13.7%	15.0%	9.9%	14.1%	15.3%	15.4%	12.4%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	13.4%	13.6%	14.2%	14.5%	14.5%
Net income, cont. ops. - GAAP	945.9	824.5	1,088.4	1,202.8	1,121.0	1,145.7	1,201.0	1,363.1	1,501.3	1,727.4	1,869.3	1,988.7	2,062.2	2,043.1	2,127.8	2,260.1	3,208.4	4,558.0	5,792.7	7,963.3	9,158.4
Net income, cont. ops. - non-GAAP	988.2	1,098.4	1,120.7	1,244.4	1,166.8	1,168.2	1,236.6	1,385.7	1,535.6	1,761.7	1,902.4	2,021.8	2,095.3	2,076.2	2,160.9	2,293.2	3,694.5	4,700.1	5,921.7	8,095.7	9,290.8
Net margin (%)	34.8%	35.7%	36.6%	39.2%	36.4%	35.4%	36.3%	37.9%	38.2%	39.4%	39.4%	39.6%	39.8%	39.8%	39.9%	39.9%	34.1%	36.9%	38.1%	39.6%	40.0%
EPS - GAAP	\$ 0.70	\$ 0.62	\$ 0.82	\$ 0.91	\$ 0.85	\$ 0.87	\$ 0.91	\$ 1.04	\$ 1.14	\$ 1.32	\$ 1.43	\$ 1.53	\$ 1.59	\$ 1.58	\$ 1.65	\$ 1.75	\$ 2.38	\$ 3.44	\$ 4.41	\$ 6.12	\$ 7.11
EPS - non GAAP	\$ 0.73	\$ 0.82	\$ 0.84	\$ 0.94	\$ 0.88	\$ 0.88	\$ 0.94	\$ 1.05	\$ 1.17	\$ 1.35	\$ 1.46	\$ 1.55	\$ 1.61	\$ 1.60	\$ 1.67	\$ 1.78	\$ 2.74	\$ 3.54	\$ 4.51	\$ 6.23	\$ 7.22

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: KLAC: Projected Balance Sheet

KLA Balance Sheet (\$ in millions; fiscal year ends in June)	C3Q24E Sep-24 F1Q25A	C4Q24A Dec-24 F2Q25A	C1Q25A Mar-25 F3Q25A	C2Q25A Jun-25 F4Q25A	C3Q25A Sep-25 F1Q26A	C4Q25A Dec-25 F2Q26A	C1Q26A Mar-26 F3Q26A	C2Q26A Jun-26 F4Q26A	C3Q27E Sep-26 F1Q27E	C4Q26E Dec-26 F2Q27E	C1Q27E Mar-27 F3Q27E	C2Q27E Jun-27 F4Q27E	C3Q27E Sep-27 F1Q28E	C4Q27E Dec-27 F2Q28E	C1Q28E Mar-28 F3Q28E	C2Q28E Jun-28 F4Q28E	CY2024A Dec-24	CY2025A Dec-25	CY2026E Dec-26	CY2027E Dec-27	CY2028E Dec-28
Assets:																					
Cash and cash equivalents	1,977.2	1,838.3	1,858.0	2,078.9	1,946.2	2,452.1	1,787.0	1,649.8	1,426.4	1,206.3	1,042.7	1,016.3	1,098.0	1,391.7	1,137.8	814.7	1,838.3	2,452.1	1,206.3	1,391.7	1,484.2
Marketable securities	2,652.5	1,942.1	2,170.6	2,415.7	2,737.4	2,755.3	3,170.9	3,252.6	3,252.6	3,252.6	3,252.6	3,252.6	3,252.6	3,252.6	3,252.6	3,252.6	1,942.1	2,755.3	3,252.6	3,252.6	3,252.6
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivable, net	1,953.2	2,335.0	2,159.9	2,263.9	2,277.8	2,073.6	2,304.5	2,889.2	3,137.2	3,494.6	3,855.6	4,037.8	4,117.2	4,079.9	4,327.1	4,541.6	2,335.0	2,073.6	3,494.6	4,079.9	4,763.6
Inventory	3,109.8	3,046.3	3,155.8	3,212.1	3,297.4	3,282.6	3,437.0	3,648.5	3,937.7	4,353.0	4,817.2	5,039.6	5,122.4	5,076.8	5,366.8	5,627.3	3,046.3	3,282.6	4,353.0	5,076.8	5,881.4
Deferred tax assets, current	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	535.7	610.9	600.7	728.1	642.4	700.2	651.5	941.6	941.6	941.6	941.6	941.6	941.6	941.6	941.6	941.6	610.9	700.2	941.6	941.6	941.6
Total current assets	10,228.4	9,772.6	9,945.0	10,698.8	10,901.2	11,263.8	11,351.0	12,381.8	12,695.5	13,248.0	13,909.8	14,287.9	14,531.7	14,742.6	15,025.9	15,177.8	9,772.6	11,263.8	13,248.0	14,742.6	16,323.4
PP&E, net	1,118.3	1,173.9	1,198.3	1,252.8	1,301.8	1,344.8	1,363.8	1,380.6	1,398.6	1,426.1	1,459.7	1,496.9	1,533.9	1,564.4	1,595.7	1,631.5	1,173.9	1,344.8	1,426.1	1,564.4	1,703.3
Deferred tax assets, non current	981.6	1,002.2	1,023.3	1,105.8	1,131.2	1,144.1	1,123.4	1,037.2	1,037.2	1,037.2	1,037.2	1,037.2	1,037.2	1,037.2	1,037.2	1,037.2	1,002.2	1,144.1	1,037.2	1,037.2	1,037.2
Goodwill	2,015.7	1,785.3	1,787.5	1,792.2	1,791.0	1,790.6	1,788.5	1,788.8	1,788.8	1,788.8	1,788.8	1,788.8	1,788.8	1,788.8	1,788.8	1,788.8	1,785.3	1,790.6	1,788.8	1,788.8	1,788.8
Purchased intangibles, net	612.0	548.6	495.6	444.8	397.4	348.0	300.7	255.8	255.8	255.8	255.8	255.8	255.8	255.8	255.8	255.8	548.6	348.0	255.8	255.8	255.8
Other non-current assets	725.7	719.1	738.6	773.6	795.4	828.9	946.1	1,107.4	1,107.4	1,107.4	1,107.4	1,107.4	1,107.4	1,107.4	1,107.4	1,107.4	719.1	828.9	1,107.4	1,107.4	1,107.4
Total assets	15,681.7	15,001.7	15,188.3	16,067.9	16,318.0	16,720.2	16,873.5	17,951.5	18,283.2	18,863.3	19,558.6	19,974.0	20,254.8	20,496.2	20,810.8	20,998.5	15,001.7	16,720.2	18,863.3	20,496.2	22,215.9
Liabilities & Shareholders' Equity:																					
Accounts payable	376.5	432.9	429.3	458.5	429.8	425.2	515.0	623.7	673.1	744.1	823.4	861.4	875.6	867.8	917.4	961.9	432.9	425.2	744.1	867.8	1,005.4
Deferred System Revenue	877.2	1,072.6	868.3	816.8	818.8	858.1	620.8	932.9	932.9	932.9	932.9	932.9	932.9	932.9	932.9	932.9	1,072.6	858.1	932.9	932.9	932.9
Deferred Service Revenue	512.5	521.4	509.1	548.0	604.8	599.3	576.5	604.1	604.1	604.1	604.1	604.1	604.1	604.1	604.1	604.1	521.4	599.3	604.1	604.1	604.1
Deferred system profit	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Unearned revenue	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income tax payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	2,282.0	2,111.4	2,103.2	2,262.4	2,196.6	2,099.9	2,039.2	2,144.2	2,030.5	1,916.7	1,802.9	1,689.1	1,575.4	1,461.6	1,347.8	1,234.0	2,111.4	2,099.9	1,916.7	1,461.6	1,006.5
Current portion of long-term debt	750.0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total current liabilities	4,798.2	4,138.3	3,909.9	4,085.8	4,050.0	3,982.5	3,751.6	4,304.9	4,240.6	4,197.8	4,163.4	4,087.6	3,988.0	3,866.4	3,802.2	3,733.0	4,138.3	3,982.5	4,197.8	3,866.4	3,548.9
Long-term debt	5,881.4	5,882.4	5,883.3	5,884.3	5,885.2	5,886.1	5,887.1	5,887.4	5,887.4	5,887.4	5,887.4	5,887.4	5,887.4	5,887.4	5,887.4	5,887.4	5,882.4	5,886.1	5,887.4	5,887.4	5,887.4
Unearned revenue	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred service revenue (non-current)	319.8	333.8	351.9	348.8	287.1	270.5	251.6	238.1	238.1	238.1	238.1	238.1	238.1	238.1	238.1	238.1	333.8	270.5	238.1	238.1	238.1
Deferred tax liability	471.6	423.6	405.9	446.9	464.5	452.7	444.2	473.6	473.6	473.6	473.6	473.6	473.6	473.6	473.6	473.6	423.6	452.7	473.6	473.6	473.6
Income tax payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other non-current liabilities	651.1	639.1	632.5	609.6	646.1	662.7	708.7	697.6	697.6	697.6	697.6	697.6	697.6	697.6	697.6	697.6	639.1	662.7	697.6	697.6	697.6
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Shareholders' equity	3,559.7	3,584.5	4,004.7	4,692.5	4,985.1	5,465.7	5,830.5	6,349.8	6,745.9	7,368.8	8,098.5	8,589.6	8,970.0	9,333.0	9,711.8	9,968.7	3,584.5	5,465.7	7,368.8	9,333.0	11,370.2
Total liabilities & equity	15,681.7	15,001.7	15,188.3	16,067.9	16,318.0	16,720.2	16,873.5	17,951.5	18,283.2	18,863.3	19,558.6	19,974.0	20,254.8	20,496.2	20,810.8	20,998.5	15,001.7	16,720.2	18,863.3	20,496.2	22,215.9

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: KLAC: Projected Cash Flow Statement

KLA Cash Flow Statement (\$ in millions; fiscal year ends in June)	C3Q24E	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E	C1Q27E	C2Q27E	C3Q27E	C4Q27E	C1Q28E	C2Q28E
	Sep-24 F1Q25A	Dec-24 F2Q25A	Mar-25 F3Q25A	Jun-25 F4Q25A	Sep-25 F1Q26A	Dec-25 F2Q26A	Mar-26 F3Q26A	Jun-26 F4Q26A	Sep-26 F1Q27E	Dec-26 F2Q27E	Mar-27 F3Q27E	Jun-27 F4Q27E	Sep-27 F1Q28E	Dec-27 F2Q28E	Mar-28 F3Q28E	Jun-28 F4Q28E
Cash flows provided by (used for) operating activities:																
Net income	\$ 945.9	\$ 824.5	\$ 1,088.4	\$ 1,202.8	\$ 1,121.0	\$ 1,145.7	\$ 1,201.0	\$ 1,363.1	\$ 1,501.3	\$ 1,727.4	\$ 1,869.3	\$ 1,988.7	\$ 2,062.2	\$ 2,043.1	\$ 2,127.8	\$ 2,260.1
operating activities:																
Depreciation and amortization	95.8	103.9	98.1	96.3	97.0	99.3	99.1	98.6	102.4	106.7	111.3	116.1	121.1	126.1	131.2	136.7
Asset impairment charges	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other non-cash items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Provision for doubtful accounts	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gain/Loss on sale of assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stock-based compensation expense	61.7	61.8	70.2	71.3	70.2	73.9	83.9	82.1	94.4	94.4	94.4	94.4	108.6	108.6	108.6	108.6
Deferred income taxes	(81.7)	(69.0)	(35.4)	(60.5)	(10.6)	(31.7)	15.1	105.0	-	-	-	-	-	-	-	-
Other operating activities	7.7	250.3	4.6	(8.6)	12.1	2.3	(14.7)	6.3	-	-	-	-	-	-	-	-
Changes in current assets and liabilities:																
Accounts receivable	(91.7)	(394.6)	186.0	(67.6)	(12.6)	191.2	(233.9)	(586.5)	(248.0)	(357.4)	(361.0)	(182.2)	(79.3)	37.3	(247.2)	(214.5)
Inventory	(59.3)	65.0	(112.3)	(48.5)	(95.7)	1.2	(159.1)	(212.3)	(289.2)	(415.3)	(464.3)	(222.3)	(82.8)	45.6	(290.0)	(260.5)
Prepaid expenses and other assets	152.6	(90.8)	14.3	(86.6)	50.9	(65.3)	(63.8)	(423.3)	-	-	-	-	-	-	-	-
Deferred tax assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts payable	(12.5)	67.1	(12.2)	(8.6)	(23.7)	(5.0)	93.3	107.8	49.4	71.0	79.4	38.0	14.2	(7.8)	49.6	44.5
Accrued and other liabilities	-	-	-	-	-	-	-	-	113.8	113.8	113.8	113.8	113.8	113.8	113.8	113.8
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred System Revenue	(108.6)	195.4	(204.2)	(51.5)	2.0	39.3	(237.3)	312.1	-	-	-	-	-	-	-	-
Deferred Service Revenue	35.9	22.9	5.8	35.9	(5.0)	(22.1)	(41.7)	14.2	-	-	-	-	-	-	-	-
Deferred System Profit	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred revenue	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other changes in assets and liabilities	49.4	(187.0)	(31.0)	90.7	(44.0)	(61.1)	(34.4)	39.3	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)
Net cash provided by operating activities	995.2	849.5	1,072.2	1,165.0	1,161.6	1,367.6	707.5	906.4	1,210.4	1,226.8	1,329.1	1,832.7	2,143.9	2,352.8	1,880.0	2,074.9
Cash flows from investing activities:																
Capital expenditures, net	(60.4)	(92.3)	(82.1)	(100.4)	(95.9)	(105.6)	(85.2)	(89.3)	(120.5)	(134.2)	(144.8)	(153.3)	(158.1)	(156.65)	\$ (162.53)	(172.5)
Acquisition of non-marketable securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisitions of business, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Sales and maturities of short-term investments	744.9	1,212.2	514.9	549.2	791.1	863.2	676.5	811.8	-	-	-	-	-	-	-	-
Purchase of short-term investments	(855.5)	(506.3)	(751.0)	(778.0)	(1,106.7)	(885.6)	(1,088.1)	(895.6)	-	-	-	-	-	-	-	-
Purchase of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other investing activities	-	0.2	(1.6)	3.8	1.5	15.2	2.5	-	-	-	-	-	-	-	-	-
Net cash used for investing activities	(171.0)	613.7	(319.8)	(325.3)	(410.0)	(112.7)	(494.3)	(173.1)	(120.5)	(134.2)	(144.8)	(153.3)	(158.1)	(156.6)	(162.5)	(172.5)
Cash flows from financing activities:																
Issuance of common stock	-	47.5	-	104.0	-	55.5	0.0	113.0	-	-	-	-	-	-	-	-
Total Proceeds from (payments of) debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Repayment of debt	-	(750.0)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Payment of dividends to stockholders	(198.1)	(226.8)	(225.8)	(254.0)	(254.0)	(249.7)	(248.8)	(305.3)	(299.7)	(298.9)	(334.1)	(592.0)	(590.3)	(588.7)	(657.5)	(911.8)
Common stock repurchases	(567.4)	(650.1)	(506.7)	(425.7)	(545.1)	(547.8)	(626.0)	(571.0)	(900.0)	(900.0)	(900.0)	(1,000.0)	(1,200.0)	(1,200.0)	(1,200.0)	(1,200.0)
Tax withholding payments related to equity awards	(72.2)	(3.6)	(2.7)	(54.1)	(81.1)	(5.7)	(4.4)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)	(113.8)
Other financing activities	-	-	-	-	(1.6)	-	-	-	-	-	-	-	-	-	-	-
Net cash used for financing activities	(837.7)	(1,583.0)	(735.2)	(629.8)	(881.8)	(747.6)	(879.2)	(877.1)	(1,313.4)	(1,312.7)	(1,347.8)	(1,705.8)	(1,904.1)	(1,902.5)	(1,971.3)	(2,225.6)
Effect of exchange rate changes on cash and cash equivalents	13.6	(19.2)	2.6	11.1	(2.5)	(1.4)	0.9	6.6	-	-	-	-	-	-	-	-
Cash and cash equivalents, beginning of period	1,977.1	1,977.2	1,838.3	1,858.0	2,078.9	1,946.2	2,452.1	1,787.0	1,649.8	1,426.4	1,206.3	1,042.7	1,016.3	1,098.0	1,391.7	1,137.8
Change in cash flow due to restatement	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net increase (decrease) in cash and cash equivalents	0.1	(138.9)	19.7	220.9	(132.7)	505.9	(665.1)	(137.2)	(223.5)	(220.1)	(163.6)	(26.4)	81.7	293.7	(253.9)	(323.2)
Cash and cash equivalents, end of period	1,977.2	1,838.3	1,858.0	2,078.9	1,946.2	2,452.1	1,787.0	1,649.8	1,426.4	1,206.3	1,042.7	1,016.3	1,098.0	1,391.7	1,137.8	814.7

CY2024A	CY2025A	CY2026E	CY2027E	CY2028E
Dec-24	Dec-25	Dec-26	Dec-27	Dec-28
\$ 3,208.4	\$ 4,558.0	\$ 5,792.7	\$ 7,963.3	\$ 9,158.4
400.0	390.6	406.8	474.6	558.4
11.3	-	-	-	-
-	-	-	-	-
-	-	-	-	-
238.8	285.6	354.9	406.0	466.9
(169.4)	(138.3)	120.1	-	-
340.3	10.3	(8.3)	-	-
(513.9)	297.0	(1,425.8)	(585.3)	(683.7)
1.1	(255.3)	(1,075.9)	(723.8)	(804.6)
(115.3)	(86.6)	(487.1)	-	-
68.6	(49.5)	321.5	123.7	137.5
-	-	227.6	455.1	455.1
188.5	(214.5)	74.8	-	-
187.2	14.6	(27.6)	-	-
-	-	-	-	-
(198.3)	(45.5)	(222.6)	(455.1)	(455.1)
3,647.3	4,766.3	4,051.1	7,658.5	8,833.0
(285.3)	(384.0)	(429.1)	(612.9)	(697.3)
-	-	-	-	-
-	-	-	-	-
2,937.4	2,718.4	1,488.4	-	-
(3,204.3)	(3,521.3)	(1,983.8)	-	-
-	-	-	-	-
(2.1)	19.1	2.5	-	-
(821.0)	(1,970.7)	(1,417.5)	(612.9)	(697.3)
144.0	159.5	113.0	-	-
735.0	-	-	-	-
(750.0)	-	-	-	-
(819.5)	(983.4)	(1,152.8)	(2,105.1)	(3,388.1)
(2,060.0)	(2,025.3)	(2,997.0)	(4,300.0)	(4,200.0)
(147.6)	(143.6)	(345.7)	(455.1)	(455.1)
(2.5)	(1.6)	-	-	-
(2,165.6)	(2,994.4)	(4,382.4)	(6,860.2)	(8,043.2)
(19.3)	9.7	7.5	-	-
1,665.1	1,838.3	2,452.1	1,206.3	1,391.7
-	-	-	-	-
173.2	613.8	(1,245.8)	185.4	92.4
1,838.3	2,452.1	1,206.3	1,391.7	1,484.2

Source: Company data, Morgan Stanley Research estimates

Valuation Methodology and Risks

Advanced Energy Industries Inc. (AEIS.O)

We use a 24x PE multiple on the company's CY28 EPS of \$17.54. Multiple is a slight premium to MKS but at a discount to SPE OEMs, which we believe is warranted based on AEIS's lower GM% profile.

Risks to Upside

- AMAT/LAM gain more share than expected.
- 800v transition leads to more than expected content.
- Data Center customer broadens

Risks to Downside

- AMAT/LAM lose share
- Share loss to Delta in data center

MKS Inc. (MKS.O)

22x FY28 EPS of \$20.08. Multiple is a larger discount to front-end SPE vs historic to reflect balance sheet concerns and business mix shift to packaging.

Risks to Upside

- Stronger than expected WFE spend
- Market share gains in semis on the back of NAND growth
- PC, smartphone, and server strength
- Debt paydowns progress quicker than anticipated

Risks to Downside

- WFE growth slows and NAND makers continue to be disciplined on capex
- PC, smartphone, and server extended weakness
- Debt paydowns slow due to slow revenue growth and higher rates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

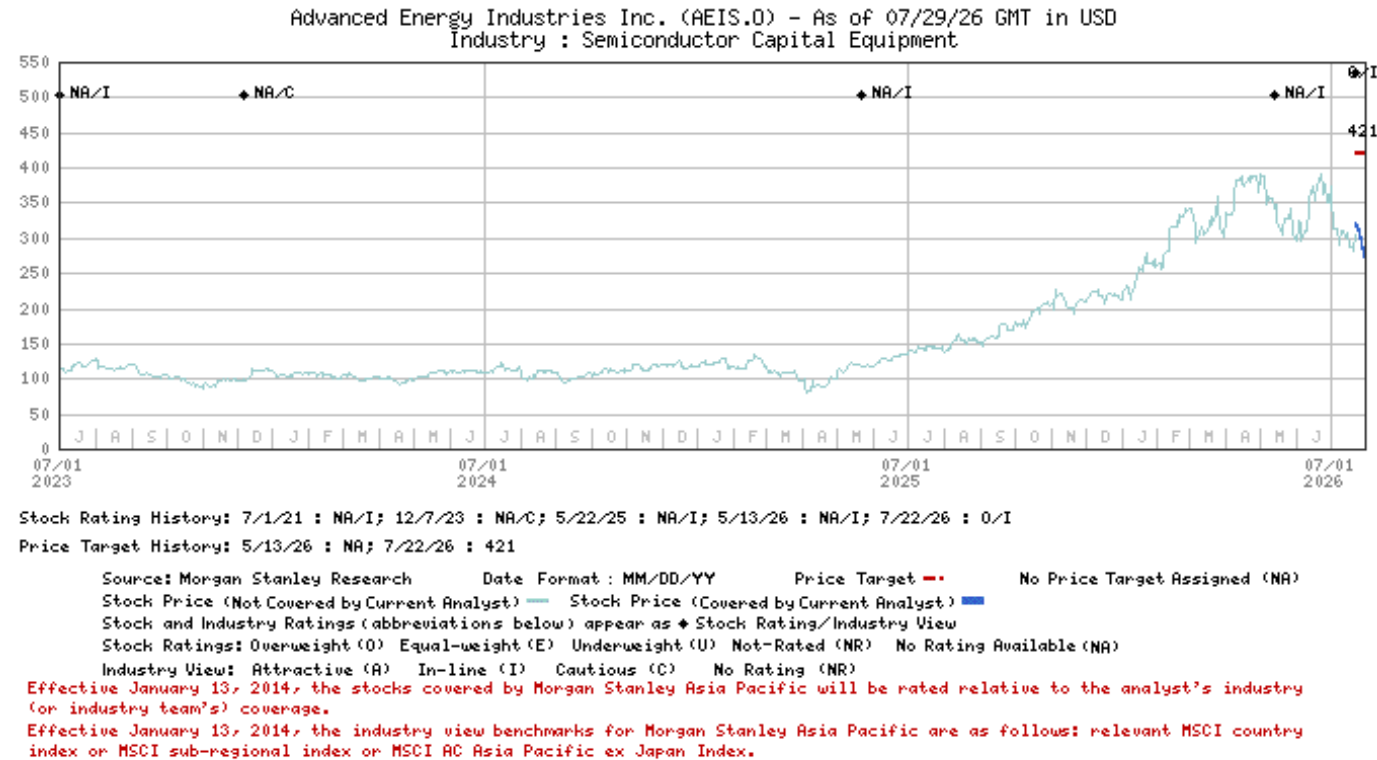
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



KLA Corp (KLAC.O) - As of 07/29/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 7/1/21 : E/I; 12/7/23 : E/C; 3/30/25 : O/C; 5/22/25 : O/I; 9/22/25 : E/I; 1/15/26 : O/I

Price Target History: 4/30/21 : 36.4; 7/30/21 : 38.9; 10/28/21 : 39.9; 12/14/21 : 43.1; 1/28/22 : 40; 4/25/22 : 37.5; 4/29/22 : 37.3; 7/24/22 : 37.7; 7/28/22 : 38.1; 9/6/22 : 35.8; 10/17/22 : 28.9; 10/27/22 : 31.8; 1/27/23 : 42; 4/26/23 : 41.4; 7/28/23 : 52.9; 10/26/23 : 50; 1/26/24 : 63.5; 4/8/24 : 69.2; 4/26/24 : 69.8; 7/24/24 : 80.5; 10/30/24 : 74.6; 12/5/24 : 70.3; 1/31/25 : 74.8; 3/30/25 : 87; 5/1/25 : 86.8; 7/1/25 : 91.6; 7/31/25 : 92.8; 9/22/25 : 109.3; 10/29/25 : 115.4; 12/1/25 : 121.4; 1/15/26 : 169.7; 1/29/26 : 175.1; 2/24/26 : 180.9; 4/29/26 : 190; 7/6/26 : 274

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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MKS Inc. (MKSI.O) - As of 07/29/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 8/4/24 : O/C; 5/22/25 : O/I

Price Target History: 8/4/24 : 155; 8/8/24 : 153; 11/7/24 : 155; 12/15/24 : 150; 2/13/25 : 147; 4/6/25 : 85; 5/8/25 : 93; 5/22/25 : 100; 7/21/25 : 112; 8/7/25 : 120; 10/12/25 : 151; 11/6/25 : 168; 12/15/25 : 187; 1/21/26 : 258; 2/18/26 : 300; 4/28/26 : 315; 5/7/26 : 354; 5/18/26 : 374; 7/6/26 : 442

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/28/2026)
Shane Brett		
Advanced Energy Industries Inc. (AEIS.O)	O (07/22/2026)	\$273.42
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	\$476.46
Camtek (CAMT.O)	E (12/01/2025)	\$140.06

KLA Corp (KLAC.O)	O (01/15/2026)	\$190.80
Lam Research Corp (LRCX.O)	O (05/18/2026)	\$269.61
MKS Inc. (MKS.I.O)	O (08/04/2024)	\$285.31
Nova Ltd (NVMI.O)	E (12/01/2025)	\$402.32
ONTO Innovation Inc (ONTO.N)	O (06/14/2026)	\$241.89
Teradyne Inc (TER.O)	E (07/30/2025)	\$320.65

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* Historical prices are not split adjusted.

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